

JHR

Date: 6-26-14

RESOLUTION NO. _____

ENTITLED: "A RESOLUTION RESCINDING RESOLUTION NO. 4738 ESTABLISHING GUIDELINES FOR AMOUNTS TO BE MAINTAINED IN THE CITY OF CHEYENNE GENERAL FUND RESERVES AND ESTABLISHING REVISED GUIDELINES FOR AMOUNTS TO BE MAINTAINED IN THE UNRESTRICTED FUND BALANCE OF THE CITY OF CHEYENNE GENERAL FUND."

WHEREAS, the Governing body of the City of Cheyenne recognizes its obligations to provide community services and infrastructure to provide for the safety, health and welfare of its citizens; and

WHEREAS, the Governing Body of the City of Cheyenne recognizes that, in order to provide for community services and infrastructure, it is necessary to invest certain amounts of funds into specified budget areas of the General Fund; and

WHEREAS, the Governing Body also recognizes the importance of being prepared for any emergent fiscal needs which might arise; and

WHEREAS, the Governing Body recognizes the importance of maintaining adequate levels of fund balance in the General Fund to mitigate current and future risks such as revenue shortfalls and emergency expenditures; and

WHEREAS, in determining an appropriate amount for adequate levels of fund balance in the General Fund, the Governing Body has considered the predictability of revenue sources, volatility of expenditures and exposure to significant one-time expenditures; and

WHEREAS, the fund balance is separated into five categories, including Nonspendable Fund Balance, Restricted Fund Balance, Committed Fund Balance, Assigned Fund Balance and Unassigned Fund Balance, as these terms are defined in Governmental Accounting Standards Board Statement 54, *Fund Balance Reporting and Governmental Fund Type Definitions*; and

WHEREAS, only the Committed, Assigned and Unassigned categories, which include those resources without a constraint on spending or for which the constraint on spending is imposed by the City of Cheyenne itself, are termed Unrestricted Fund Balance; and

WHEREAS, the City of Cheyenne distinguishes its operating budget in the General Fund between recurring operating expenditures (hereinafter referred to as "Operating Expenditures"), and support services and non-recurring special project budgets; and

WHEREAS, the Government Finance Officers Association of the United States and Canada recommends that cities maintain an Unrestricted Fund Balance of no less than sixty (60) days of Operating Expenditures; and

WHEREAS, it is the intent of the Governing Body to achieve and maintain an Unrestricted Fund Balance in the General Fund of the City of Cheyenne equal to or exceeding sixty (60) days of Operating Expenditures.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING THAT Resolution 4738 is rescinded.

BE IT FURTHER RESOLVED THAT the City of Cheyenne will maintain an Unrestricted Fund Balance in the General Fund in an amount equal to or exceeding sixty (60) days of Operating Expenditures.

BE IT FURTHER RESOLVED THAT expenditures of the Unrestricted Fund Balance in the General Fund below the sixty (60) day reserve amount is limited to emergencies and other unforeseen expenditures which must be approved by the Governing Body through a re-appropriation of the General Fund Budget.

BE IT FURTHER RESOLVED THAT, in those instances when the Unrestricted Fund Balance of the General Fund falls below 90% of the sixty day reserve amount for a consecutive six month time period, the Mayor shall present a plan to the Governing Body of the City of Cheyenne describing how the sixty (60) day reserve amount shall be returned to the Unrestricted Fund Balance in the General Fund.

BE IT FURTHER RESOLVED THAT, in order to accommodate future financial concerns of the City, the Unrestricted Fund Balance shall be reviewed annually, as deemed necessary by the Governing Body, as a part of the annual budget process.

PRESENTED, READY AND ADOPTED THIS _____ DAY OF _____,
2014.

CITY OF CHEYENNE
BY:

Richard L. Kaysen, Mayor

(SEAL)
ATTEST:

Carol Intlekofer, City Clerk